

NIGERIA INLAND REVENUE SERVICE

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INFORMATION CIRCULAR

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Subject: TAXATION OF NON-RESIDENT PERSONS ENGAGED IN SHIPPING AND AIR TRANSPORT

This circular is issued for the information and guidance of taxpayers, tax practitioners and the public in line with the provisions of the relevant tax laws. The circular withdraws and replaces FIRS Information Circular No. 2023/11 of 29th December 2023.

1.0 Introduction

This Circular explains how the relevant provisions of the Nigeria Tax Act, 2025 and the Nigeria Tax Administration Act, 2025 apply to non-resident shipping and airline operators. It sets out the basis for determining assessable and total profits, clarifies the tax treatment of freight and non-freight income, the impact of tax treaties, compliance obligations, and the tax implications of leasing or chartering ships and aircraft. In addition, it provides guidance on ancillary services, employment income exercised aboard ships or aircraft, and the carriage of crude oil from Nigeria. The Circular does not apply to Nigerian resident companies engaged in shipping or air transport.

2.0 Scope

This Circular applies to taxation of income derived from Nigeria by non-resident persons engaged in shipping or air transport and does not apply to Nigerian resident engaged in similar trade or business.

3.0 Income from shipping and air transport business in Nigeria

3.1 Classification of income from shipping and air transport in Nigeria

The profits derived by a non-resident company from airline or shipping operation within Nigeria may fall into two categories; freight income or non-freight income.

- (1) Freight income refers to income earned from the carriage of passengers, mails, livestock or goods loaded into an aircraft or ship in Nigeria,

excluding transshipment.

- (2) Non-Freight income refers to income earned from other business activities including but not limited to commission, demurrage, container clearing fees, container damage fees, rental of ship or aircraft, stevedoring, etc.

3.2 Taxation of freight income

The following rules govern the taxation of freight income derived by non-resident

companies from the operation of ship or air transport businesses in Nigeria: Where a non-resident person carries on the business of transport by sea or air, and any ship or aircraft owned, leased or chartered by it calls at any port in Nigeria, the:

- (a) profits arising from the carriage of passengers, mails, livestock or goods shipped, or loaded into a ship or an aircraft in Nigeria (freight income) is liable to tax;
- (b) profits arising from carriage of passengers, mails, livestock or goods, which are brought to Nigeria solely for trans-shipment are not chargeable to tax in Nigeria;
- (c) tax is levied on the profits attributable to such Nigerian operations, irrespective of the company's country of incorporation; and
- (d) tax base for the taxation of freight income of foreign airline or shipping companies is the "**total profits**" computed based on the relevant provisions of the law.

3.2.1 Determination of total profits where there is similar tax treatment

Where the Service is satisfied that the tax jurisdiction of residence of a non-resident shipping or air transport company computes and assesses tax on a basis not materially different from that of Nigeria, the total profits of the non-resident company will be determined as follows:

- (a) The profits or losses attributable to Nigerian operations are calculated using the following ratios:
 - (i) "Global Adjusted Profit Ratio": The ratio of the company's profits or losses (before depreciation allowances) for an accounting period to its gross revenue derived from the carriage of passengers, mails, livestock, or goods.

$$\text{Global Adjusted Profit Ratio} = \frac{\text{Adjusted Profits or losses}}{\text{Gross revenue from carriage activities}}$$

- (ii) "Global Depreciation Ratio" The ratio of the company's depreciation allowances for an accounting period to its gross revenue from the carriage of passengers, mails, livestock, or goods.

$$\text{Global Depreciation Ratio} = \frac{\text{Depreciation allowances}}{\text{Gross revenue from carriage activities}}$$

- (b) Total profits will be determined as follows:

- (i) "Assessable Profit" is calculated by applying the global adjusted profit ratio to the freight revenue (total income derived from the carriage of passengers, mails, livestock, or goods shipped or loaded in Nigeria).
- (ii) "Depreciation Allowance" is determined by applying the global depreciation ratio to the Nigerian-sourced freight revenue.
- (iii) "Total Profit" is derived by deducting the depreciation allowance from the assessable profits.

Note:

To provide the required satisfaction to the Service, the non-resident company should submit to the Service, a copy of its published account and a statement containing the following information and certified by the tax authority of its country of residence:

- (i) Gross revenue from carriage activities,
- (ii) Computation of the Adjusted Profits or losses, showing the addition of depreciation back to the accounting profits and other tax adjustment to the profits,
- (iii) Depreciation Allowance, and
- (iv) Declaration or an attestation stating that the information contained in the certificate is true and correct.

3.2.2 Situation of non-similar tax treatment

Where the provisions of paragraph 3.2.1 cannot be satisfactorily applied, the total profit to be subject to tax in Nigeria will be determined by applying the ratio of Earnings Before Interest and Tax (EBIT) to total income or revenue (profit margin) to the turnover attributable to Nigeria.

NOTE:

- (i) the information required for the computation of the ratio of EBIT to total income or revenue is as disclosed in the company's audited financial

statements,

- (ii) where the company does not have published financial statements for the relevant period, or is not required to publish such statements, the profit margin will be determined by the Service by reference to the published financial statements of a comparable company.

3.2.3 Deemed total profit

Where at the time of assessment, the total profit cannot, for any reason, be ascertained using any of the approaches described in paragraphs 3.2.1 and 3.2.2, the Service will determine the total profit by applying a fair percentage to the gross revenue derived from the carriage of passengers, mail, livestock, and goods shipped from or loaded in Nigeria.

3.3 Minimum tax

Notwithstanding the approaches described in paragraph 3.2 above, the tax payable should not be less than 2% of the total revenue from the carriage of passengers, mails, livestock or goods shipped or loaded in Nigeria.

Where the tax computed is less than 2% of the total revenue receivable from the carriage of passengers, mails, livestock or goods shipped or loaded in Nigeria, the tax payable will be the 2% of the total revenue receivable from the carriage of passengers, mails, livestock or goods shipped or loaded in Nigeria.

Illustration 1

The global income statement of NAM Airways Inc., a foreign airline which operates into Nigeria for the year ended 31st December 2026 shows the following:

	\$'000	\$'000
Income from passengers, cargo and mails:		
Outside Nigerian Sales		3,100,000
Nigerian sales		<u>100,000</u>
Global Transportation Revenue		3,200,000
Transportation Expenses:		
Salaries and other expenses	2,300,000	
Depreciation	320,000	
Other disallowable expenses	180,000	(2,800,000)

Net Transportation Profit		400,000
Other Income:		
Income from Properties (net)	25,000	
Income from operating maintenance hanger (net)	50,000	
Income from duty-free shops (net)	50,000	
Income from catering (net)	75,000	200,000
Net profit		600,000

NAM Airways has two ground staff in Nigeria and 5% of the 'other income' is attributable to the operation of the Airline in Nigeria. Assume that the provisions in the tax law of the home country of NAM Airways Inc is similar to that of Nigeria with respect to the computation of assessable profits.

Treatment

a. To determine the Nigerian tax payable on freight income

- i. calculate the profit on the transportation business: \$'000

Net transportation Profit as per account	400,000
Add Depreciation	320,000
Other disallowed expenses	<u>180,000</u>
Global Transportation Assessable Profits	<u>900,000</u>

- ii. Compute relevant statutory ratios:

- (a) Global Adjusted Profit ratio:

$$\frac{900,000}{3,200,000} \times 100\% = 28\%$$

- (b) Global Depreciation ratio: $\frac{320,000}{3,200,000} \times 100\%$

$$= 10\%$$

- iii Compute the tax payable on the freight income:

Nigerian freight income as above

						<u>100,000</u>	
Total	Assessable	Profits	28%	of	\$100,000	=	

28,000	
Less: Depreciation Allowance 10% of \$100,000	=
<u>10,000</u>	
Total Profit	<u>18,000</u>

Tax at 30%	=	<u>5,400</u>
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(iv) Minimum tax (2% of the Nigerian sales) = 100,000 X 2%	=	<u>2,000</u>
Therefore, Tax Payable on freight income	=	<u>5,400</u>

Note:

Depreciation allowance is in lieu of capital allowance granted under the First Schedule to NTA.

b. To determine the Nigerian tax payable on non-freight income

		\$'000
Total or global non-freight income (net)		<u>200,000</u>
Amount attributable to Nigeria (5% X 200,000)	=	<u>10,000</u>
Tax @ 30% (30% X 10,000)	=	<u>3,000</u>

Note:

For non-freight income, the tax payable will be 4% of the non-freight income generated from Nigeria, except where WHT above 4% has been applied. In such case, the WHT will be the final tax.

C. To determine the Total Tax Liability in Nigeria:

Tax payable on freight income	5,400
Tax payable on non-freight income	<u>3,000</u>
Total Tax Liability in Nigeria	<u>8,400</u>

Illustration 2: Alternative Profit Computation

Consider Transco Cargo Inc., a US-based shipping company, which generates \$20 million in revenue from transporting goods loaded in Nigeria. The ratio of EBIT to total income derived from the company's financial statement is 10%. The global adjusted profit and depreciation ratios could not be applied because the rules applicable by the US tax authority in computing and assessing the profit of the non-resident company to tax are different from that of Nigeria.

Treatment:

The taxable profit is calculated as follows:

- Nigerian revenue: \$20 million.
- Profit margin: 10%.
- Total profit = \$20 million × 10% = \$2m

- Tax @ 30% = \$600,000.00

3.4 Tax Treaty Situation

The existing Articles on Shipping and Air Transport in the Double Taxation Agreements (DTAs) between Nigeria and other countries deals with the sharing of taxing right between Nigeria and the treaty partners. The Articles moderate the provision of Section 18 of NTA as regards sum receivable from the international carriage of passengers, mails, livestock or goods shipped or loaded in Nigeria. The scope of the Articles covers only **international traffic** (i.e. the place of departure is Nigeria, while the place of arrival is outside Nigeria or vice versa). Consequently, the Articles do not deal with profits derived by a non-resident company from domestic routes (i.e. where place of departure and arrival are in Nigeria). The explanations in this paragraph are applicable regardless of whether the vessel or aircraft is owned, leased or otherwise at the disposal of the Non-resident company.

There are two broad categories of Nigerian DTAs as regards the treatment of companies engaged in shipping or air transport. These are DTAs that grant unconditional tax exemption to shipping companies or airlines of tax treaty partners and those that provide only conditional (based on reciprocity) exemption.

3.4.1 Unconditional tax exemption

With respect to tax treaties that grant unconditional tax exemption, the companies engaged in shipping or air transport are exempt from Nigerian income tax if they are residents (as defined by the DTA) of the treaty partner and have submitted a Certificate of Residence, issued by the treaty partner, to the Service.

3.4.2 Conditional tax exemption

With respect to DTAs that grant conditional tax exemption, treaty benefits are granted in either of the following ways:

(a) Where there is Reciprocity:

Reciprocity clause, in the Article dealing with shipping and air transport, means that ships operated in international traffic by Nigerian companies call at the seaports of a treaty partner and ships operated in international traffic by companies of the treaty partner also call at Nigerian seaports. Similarly, it may also mean aircrafts operated in international traffic by Nigerian companies call at the airports of a treaty partner and aircrafts operated in international traffic by companies of the treaty partner also call at Nigerian airports in a given year of assessment.

Therefore, reciprocity applies only where profits as meant in the Article, are derived by companies or other persons of both countries from the operation of ships or aircraft in international traffic to or from each other.

As such, "Reciprocity" in international traffic will occur only where a company of Nigeria derives profits from the operation of ships in international traffic to a treaty partner, and a company of a treaty partner similarly derives profits from the operation of ships; or a company of Nigeria derives profits from the operation of aircraft in international traffic to a treaty partner, and a company of a treaty partner similarly derives profits from the operation of aircraft in international traffic to Nigeria.

In such a case, the foreign company will not pay tax in Nigeria, and the Nigerian company will not pay tax in the other country. The profits of the companies will only be taxable in their respective home countries.

(b) Where there is no Reciprocity:

This is where a company of Nigeria's tax treaty partner operates a ship or aircraft in international traffic calling at a Nigerian port in a given year of assessment, without any corresponding operation of any ship or aircraft of a Nigerian company in international traffic calling at a port of that treaty partner.

In determining reciprocity, payment made to the government of Nigeria or any instrumentality thereof, by way of a commercial or other agreement that does not deal with tax issues, will not be considered as profits derived by an enterprise of Nigeria from the operation of ships or aircrafts in international traffic, for the purpose of satisfying the condition of reciprocity.

Consequently, the foreign company of the treaty partner is assessable to tax in Nigeria in respect of income arising from such operations.

However, Nigerian tax shall be at the rate specified in the respective DTAs.

NOTE:

- (i) The treatment agreed in the DTAs (i.e. full exemption of the foreign company from income tax or taxation at treaty rate) is limited to the activities specified in the tax treaty. Profits from all other activities of the foreign company (not listed in the tax treaty) shall fall under the Article on Business Profits in the Agreement and be taxable in Nigeria as provided by the relevant domestic tax law.

(ii)for the purposes of reciprocity, ships and aircrafts are not interchangeable, i.e. ship for ship and aircraft for aircraft.

Illustration 3:

XYZ Airlines Ltd., a foreign company resident in Utopia a treaty partner of Nigeria, carries passengers from Abuja Nigeria to Utopia with three flights per week.

Treatment:

This trip would be regarded as falling within the definition of international traffic.

Illustration 4:

XYZ Airlines Ltd., a foreign company resident in Utopia, a treaty partner of Nigeria, carries passengers from Abuja Nigeria to Utopia with three flights per week. XYZ Airlines as part of the same voyage to Utopia, first flies between Abuja to Lagos to pick up passengers and then continues to Utopia.

Treatment:

The first and second legs of that trip, Abuja to Lagos and Lagos to Utopia will both be part of a voyage regarded as falling within the definition of international traffic, because the trip of the passengers carried from Abuja did not end in Lagos but continues to Utopia.

Illustration 5:

XYZ Airlines Ltd., a foreign company resident in Utopia, a treaty partner of Nigeria, carries passengers from Abuja Nigeria to Utopia with three flights per week. XYZ Airlines as part of the same voyage to Utopia, first flies between Abuja to Lagos to pick up more passengers and then continues to Utopia. The airline also has license to operate domestic routes on the days it is not carrying passengers to Utopia, and to disembark in Lagos, some of the passengers it carries from Abuja to Lagos in its flight enroute Utopia.

Treatment:

Income from the operation of domestic routes on the days it is not carrying passengers to Utopia, as well as that from Abuja passengers disembarked in Lagos would not be regarded as falling within the definition of international traffic.

Illustration 6:

XYZ Airlines Ltd., a foreign company resident in Utopia a treaty partner of Nigeria, jointly operates flights in domestic routes with ABC Nigeria Ltd. XYZ Airlines Ltd provides the aircrafts and pilots, ABC provides the other crews

and other logistics.

Treatment:

Income derived from Nigeria by XYZ Airlines Ltd from a pool or joint operation of flight in domestic routes would not be regarded as falling within the definition of international traffic.

4.0 Tax Returns

A non-resident company involved in the carriage of passengers, mails, livestock or goods loaded into ships or aircrafts in Nigeria is required to file monthly returns with the Service and pay the tax computed for its operation that month. The monthly returns shall be filed not later than the 21st day of the following month in respect to the freight income earned from Nigeria with evidence of payment. In addition, an annual return shall be filed with the Service with respect to freight and non-freight income earned from Nigeria in line with the process and procedure for filing annual income tax returns in Nigeria.

4.1 Monthly Tax Returns

The monthly returns shall contain the following;

- (a) Detailed statement of the Nigerian operations for that month showing the amount of gross revenue;
- (b) Tax Computation schedule, for tax charged at the rate of 2% of gross revenue or at the rate specified in an applicable tax treaty;
- (c) Evidence of tax payment on income derived from the carriage of passengers, mail, livestock, or goods loaded in Nigeria.

NOTE:

The 2% on gross revenue paid is not the final tax. The payment of the 2% of monthly revenue only enables the companies to fulfill the requirement for repatriation of ticket sales pending the conclusion of the tax matters for the relevant year of assessment.

4.2 Annual Tax Returns

The contents of the annual tax returns of non-resident shipping and airline company are:

- (a) the company's full audited financial statements;
- (b) the financial statement of the Nigerian operations, attested to by an independent, qualified or certified accountant in Nigeria;
- (c) where a separate financial statement of the Nigerian operations cannot be provided, the company is required to provide detailed gross revenue statements of its Nigerian operations, certified by one of its directors and its external auditors, and supported with the contract agreements;

- (d) tax computation schedules based on the profits attributable to its Nigerian operations;
- (e) a true and correct statement, in writing, containing the profits from each and every source in Nigeria;
- (f) duly completed Income Tax Self-Assessment forms;
- (g) a computation of the effective tax rate and additional tax payable, where applicable; and
- (h) evidence of payment of the tax due.

Note:

- (i) "Full audited financial statement" implies the global or consolidated account of the foreign entity,
- (ii) Financial statement of the Nigerian operations should include necessary details required under the relevant domestic legislation,
- (iii) Capital Allowances computation is limited to qualified capital expenditures incurred for Nigerian operations only,
- (iv) Information contained in the financial statement of the Nigerian operations will form the basis for computing the assessable profits, capital allowances, total profits and tax due,
- (v) Income Tax self-assessment forms are available at <https://www.firs.gov.ng/TaxForms/FIRSTaxForms>.

4.2.1 Computation details for Annual Returns

- (a) Tax computation - the tax computation under paragraph 3.2.1 of this Circular should disclose the following details:
 - (i) Global revenue (i.e. total revenue receivable worldwide from the carriage of passengers, mails, livestock or goods),
 - (ii) The global net profit from the business of carriage of passengers, mails, livestock or goods,
 - (iii) Tax adjustments carried out on the accounting net profit to arrive at the adjusted profit from the business of carriage of passengers, mails, livestock or goods,
 - (iv) The adjusted profit ratio from the business of carriage of passengers, mails, livestock or goods (i.e. the ratio of the adjusted profits to global earnings (revenue) for the period),
 - (v) The amount of global depreciation in respect of the business of carriage of passengers, mails, livestock or goods for the period,
 - (vi) The depreciation ratio (i.e. the ratio of the annual global depreciation to global earnings (revenue) of the business of carriage of passengers, mails, livestock or goods for the period),
 - (vii) Earnings (revenue) of the company derived from the carriage of passengers, mails, livestock or goods shipped or loaded into aircrafts in Nigeria during the period,

- (viii) Assessable profits of the company derived from Nigeria (i.e. revenue of the company from Nigeria specified in (vii) above multiplied by the adjusted profit ratio determined in (iv) above),
 - (ix) Capital allowance deducted (i.e. revenue of the company from Nigeria specified in (vii) above multiplied by depreciation ratio determined in (v) above),
 - (x) Total profits or full profits taxable in Nigeria (i.e. the Assessable profits of the company computed in (viii) above less Capital allowance computed in (ix) above),
 - (xi) Tax computed, which is the total profits or 'full profits' computed in (x) above multiplied by 30%, and
 - (xii) Computation of minimum tax; and
- (b) Tax payable in Nigeria, which is the higher of tax computed in (xi) and minimum tax computed in (xii). Capital Allowances Computation – this should contain details of depreciation charged into the global account, the computation of depreciation ratio and capital allowances deductible in Nigeria (computed using the depreciation ratio).

5.0 Role of Regulatory Agencies in Ensuring Tax Compliance

Regulatory agencies in the shipping, air transport, and related sectors are required to request non-resident persons engaged in shipping and airline operations to provide evidence of tax compliance as a pre-requisite for conducting business or obtaining approvals or permits in Nigeria. Acceptable evidence includes:

- (i) Proof of income tax filing for the preceding tax year;
- (ii) Tax Clearance Certificates demonstrating income tax payments for the three preceding tax years; or
- (iii) Evidence of tax declaration and payment for the specific carriage or shipment activity.

Note:

A foreign airline or shipping company that carries out operation in Nigeria shall register for tax and may obtain a TCC from the Service to meet the regulatory requirement in paragraph (ii) above.

6.0 Income from Leasing or Charter of Ships and Aircraft

One of the common features of the Shipping and Air Transport business is leasing of vessels, ships or aircraft. The lease may be on "time or voyage basis", or "demise or bare-boat basis" in the case of ships; and dry or wet lease in the case of aircraft.

- (a) **A voyage or time charter:** This is an arrangement in which the charterer (or lessee) charts the ship (or part of it) for a particular voyage in which the route and ports have been pre-determined or for

an agreed period of time of which they are free to sail to any port and transport any cargo.

Voyage or time charter of ships is similar to wet lease or leasing arrangements of aircraft. Depending on the charter arrangement, the charterer or lessee may direct where the ship or aircraft will go but the owner of the ship retains possession of the ship, and maintenance of the vessel still falls under the purview of the owner. It is the owner of the ship that remains responsible for the employment of the master and crew and responsible for the technical operation of the vessel.

The charterer or lessee pays *hire* (rental fee) to the owner of the vessel and may sometimes pay for the fuel the vessel consumes, port charges, demurrage, commissions etc. (especially for time charter) but does not retain ownership, while the owner will handle all maintenance-related costs. In a time charter the commercial control of the vessel is not handled by the owner, while in a voyage charter, both the technical and commercial control is retained by the owner. A voyage or time charter of ship or wet lease of aircraft mostly constitutes an operating lease.

- (b) **Bareboat or demise charter:** Bareboat or demise charter arrangement has similar features as dry lease or leasing arrangement of an aircraft. In a dry lease or bare-boat or demise charter, the owner gives possession of the ship to the charterer, and the charterer hires its own master, crew and ground staff. The charterer or lessee obtains possession and full operational control of the vessel along with the legal and financial responsibility for it. The charterer or lessee pays for all operating expenses, including fuel, crew, port expenses and insurance. A bareboat charter of ship or dry lease of aircraft is in effect a financing arrangement and mostly constitutes a finance lease.

6.1 Treatment of Income from Leasing or Charter of Ships and Aircraft under the Domestic Law

Income from leasing or charter of ships and aircraft will, in most cases, not constitute freight income. As such, section 18 of the NTA and Section 21 of the NTAA will not apply to income arising from the lease or charter of ships or aircraft, being non-freight income. Accordingly, such income will be taxed in accordance with the normal taxation rules in the tax laws, including WHT deduction. However, where a tax treaty is in force, the tax treatment of this category of income will be determined in accordance with the applicable treaty provisions, as explained in the following paragraphs.

6.2 Treatment of Income from Leasing or Charter of Ships and Aircraft where there is Tax Treaty

6.2.1. Wet Lease, Time or Voyage Charter

The profits of a company, resident in the jurisdiction of a treaty partner with Nigeria, accruing from the charter or leasing of aircrafts or ships on time or voyage basis, or wet lease arrangement will constitute profits from air and shipping transportation, provided that the charter is incidental to international traffic. Such profits will be treated in line with the Article on shipping and air transport in that treaty, so far as such charter is solely for international traffic.

In this regard, the income of the non-resident company will be subject to tax on the basis of the following instances, depending on the provisions of the specific tax treaty:

- (a) Where the treaty does not allow for source State taxation: the non-resident company will be taxable only in its home country.
- (b) Where the treaty allows for source State taxation but there is reciprocity in international traffic in a year of assessment: the foreign airline or shipping company will not be subject to tax in Nigeria in that year of assessment. In such a case, each country will tax its own airline or shipping company.
- (c) Where the treaty allows for source State taxation and there is no reciprocity in international traffic in a year of assessment: the tax payable by the non-resident in Nigeria shall be at the rate specified in the respective tax treaty. However, where the income is derived from only domestic routes within Nigeria, such profits will not be considered profits derived from international traffic and would be treated as 'business profits' under Article 7 of the treaty. Consequently, the lease or rental income will be assessed to tax under the relevant provision of the domestic tax law.

Illustration 7

The Super Eagle of Nigeria has qualified for the 2026 World Cup holding in USA and the Nigeria Football Federation has chartered the British Airways to airlift the team to and from the USA.

Treatment:

This is a voyage charter and will qualify as international traffic under the treaty between Nigeria and United Kingdom.

Illustration 8

Company A is a courier and logistic company in Nigeria. Company A has contracted Company B, a company engaged in international shipping transportation and a resident of the Netherlands, to transport and deliver its goods and mails in year 2026 at various ports across the world.

Treatment:

This is a time charter and will qualify as international traffic under the tax treaty between Nigeria and the Netherlands. This will be the case even where, under the terms of the contract, a vessel is specifically dedicated to the carriage of goods and mails of Company A.

NOTE:

1. Where Company B is not a company engaged in international shipping transportation, the contract with company A will not be incidental to an international traffic business. In that instance, income derived from the contract will not be treated as income from international traffic but rent.
2. Issues are treated on cases-by-case basis, depending on the express provisions of the particular tax treaty.

6.2.2. Dry Lease or Bareboat Basis

Profits of companies derived from the charter or leasing of an aircraft or ship on bareboat basis or dry lease arrangement shall not constitute income from air and shipping transportation (except the Agreement specifically provides otherwise). The profits are taxed as "business profits" under relevant article of the DTA. Consequently, the lease or rental income shall be assessed to tax under the relevant provision of the domestic tax law, including withholding tax and value added tax.

The lessee in Nigeria may claim capital allowance in respect of the asset.

Illustration 9:

YBM Airlines, an incorporated company in Nigeria, wants to expand its air transport operations and has taken a wet lease of one aircraft from ADK Airways, a resident of Fantasia, for a period of 5 years to increase its daily flights between Abuja and Lagos routes. YBM would be required to pay ADK at quarterly intervals based on agreed daily rates for the duration of the lease.

YBM is also required to take on the insurance on passengers, baggage, cargo or mail, all operating costs in connection to the aircraft (or reimburse ADK for it if incurred by ADK) which includes the fuel and lubricants, landing and parking fees, ground handling, carbon emission charges, passenger and crew in-flight catering etc., and pay a security deposit before the lease starts, by virtue of the terms of the agreement. YBM in addition will ensure that the

Aircraft is free and clear of all liens, charges and encumbrances that have arisen during the wet lease period.

However, ADK will take care of crew expenses and any cost relating to loss or damage to the aircraft including replacement of the aircraft so far as it is not from gross negligence or willful misconduct by YBM. Fantasia does not have a treaty with Nigeria.

Treatment:

ADK establishes a permanent establishment (PE) in Nigeria through the provision of its aircraft and crew, thereby creating a taxable presence, which will make it liable for corporate income tax on profits attributable to the PE. The income earned by ADK will constitute non-freight lease income, which will not be classified as income from air transport operations. The taxation rules for non-resident shipping and air transport under the NTA and NTAA will not apply to this arrangement, and ADK will be required to render returns as a non-resident deriving income from Nigeria.

WHT applies to all payments made by YBM to ADK, which when remitted to the Service, is advance payment of its income tax liability, and will not be considered a final tax.

Illustration 10:

Fantasia is a treaty partner of Nigeria and one of its resident companies, ADK, flies purely international routes between Nigeria and Fantasia. The treaty between Nigeria and Fantasia allows for source State taxation where there is no reciprocity. In its efforts to expand its operations to international routes between Nigeria and Fantasia, YBM Airlines, a Nigerian company entered into a 5-year joint operation agreement with ADK. All other facts and conditions stated in Illustration 7 above are assumed to be the same.

Treatment:

Both ADK and YBM derives income from international traffic under the joint arrangement. As such, the conditions for reciprocity under the tax treaties of Nigeria is met.

Consequently, each country will tax its airlines and the profits of ADK will not be taxable in Nigeria, although the treaty allows for source State taxation.

Illustration 11:

Fantasia is a treaty partner of Nigeria and one of its resident companies, ADK flies purely international routes between Nigeria and Fantasia. The treaty between Nigeria and Fantasia allows for source State taxation where there is

no reciprocity. In its efforts to expand its domestic operations, especially in the routes between Abuja and Enugu, YBM Airlines, a Nigerian company entered into a wet lease agreement with ADK for a period of 5 years. All other facts and conditions stated in Illustration 7 above are assumed to be the same.

Treatment:

ADK derives income from international traffic while YBM does not. As such, the conditions for reciprocity under the tax treaties of Nigeria has not been met. Consequently, Nigeria will tax the profits of ADK at the rate specified in the relevant tax treaty, if the treaty allows for source State taxation. While the income of YBM will be subject to tax in Nigeria in accordance with the relevant tax law. The income of ADK taxable in Nigeria will include the income from wet lease of aircraft, which will be treated as non-freight income, and not income from international traffic

7.0 Income from employment exercised aboard a ship or aircraft

Income covered under this paragraph includes income from employment exercised aboard a ship or aircraft as part of the crew or in the course of usual operation of the ship or aircraft. Examples of such activities include disc jockeys, expedition leaders, hosts and hostesses, shore excursion managers, water sports instructors, fitness directors, medical staff, bartenders, information technology staff, casino staff, entertainers etc. exercised aboard a cruise ship.

7.1 Tax Treatment of Income from employment under the Domestic Law

7.1.1 Resident individual

An individual who is a resident of Nigeria, whether a master, pilot, crew or ground-staff is liable to tax in Nigeria on all income derived from within and outside Nigeria. Employment income, including compensations, bonuses, premiums and benefits, irrespective of where the income is earned or the employment is exercised and whether or not the income is brought into or received in Nigeria will be liable to tax in Nigeria. This is regardless of where the employer is tax resident.

7.1.2 Non-resident individual

Employment income of a non-resident individual, including a master, pilot, member of the crew or ground staff, is not liable to tax in Nigeria except where the employment is wholly or partly exercised in Nigeria, and the income is not taxable in the country of tax residence of the employee.

Where the payer is a resident person, tax will be deducted when the payment of the emolument is made, but subject to refund upon presentation of evidence of taxation in country of tax residence.

7.2 Tax treatment of income from employment where there is tax treaty

7.2.1 Where the ship or aircraft operates in international traffic

Where an individual exercises employment aboard a ship or aircraft in international traffic or serves as a member of the regular complement on that vessel, the income may be subject to tax in Nigeria. Such profits will be treated in line with the Article on dependent personal service or income from employment.

The tax treatment may defer, depending on the treaty provisions. The following are possible treatments:

- (i) Shared taxation that allows for taxation in the resident state of the operator of the ship or aircraft (residence of employer) or the place of effective management of the ship or aircraft: Nigeria will tax in accordance with its domestic law if the ship or aircraft is operated or effectively managed by a resident of Nigeria, as the case may be. Nigeria will also have taxing right if the employee is its resident.
- (ii) Exclusive taxation which allows for taxation only in the country of residence of employee: Nigeria will be able to tax its residence and will not have a taxing right in respect of non-residents.
- (iii) Exclusive taxation which allows for taxation only in the country of residence of employer or the place of effective management of the ship or aircraft: Nigeria will have taxing right only if the ship or aircraft is operated or effectively managed by a resident of Nigeria, as the case may be.

7.2.2 Where the ship or aircraft does not operate in international traffic

The income from employment will be treated in accordance with the rules stated in paragraph 7.1 above, except that in the case of non-resident, the condition for source state taxation under the Article on income from employment must be met before Nigeria can exercise a right of taxation under the domestic law.

8.0 Taxation of Foreign Ships or Vessels Lifting Crude Oil from Nigerian Territorial Waters

One of the common features of the oil industry in Nigeria is that crude oil is

often sold to foreign buyers "Free on Board" origin ("FOB origin"), also sometimes phrased as "FOB shipping" or "FOB shipping point". This means that the foreign or non-resident buyers are responsible for the arrangement and payment for vessels for the transportation of the crude oil from Nigeria. Usually, the shipping companies contracted for the transportation of the crude are non-residents and payments to them are made by the non-resident buyers of the crude oil.

The tax treatment of income derived from the carriage of crude oil from Nigeria follows the same principles applicable to non-resident companies engaged in shipping operations.

Consequently, a vessel that carries crude oil, gas, petroleum products or any other item from Nigeria is liable to tax in Nigeria, irrespective of where or with whom the carriage contract was executed, subject to the application of the respective tax treaty rules, where applicable.

8.1 Income from Ancillary Services

8.1.1 Under the Domestic Law

The special provisions governing the taxation of shipping and air transport operations do not extend to non-freight income, including income arising from demurrage and detention, local charges, stevedoring, clearing and forwarding, cargo handling, container leasing, storage, agency services, and similar activities. Where a foreign shipping or air transport company carries on any of these non-freight activities in Nigeria, the profits derived therefrom are subject to tax in Nigeria in accordance with the general provisions applicable to income derived from Nigeria by non-resident companies.

These ancillary services are liable to Value Added Tax (VAT). The non-resident airline or shipping company must therefore include VAT in the invoice and a Nigerian resident to whom the services are provided are required to withhold the VAT and remit it to the Service in accordance with the extant tax laws. Where the Service has appointed a non-resident shipping or airline as an agent for the collection of VAT, the taxable person will not be required to withhold the VAT except when the appointed agent has failed to collect the VAT.

9.0 Remittance of funds out of Nigeria

Remittance of funds out of Nigeria, by a foreign company engaged in shipping or airline business, requires a Clearance Certificate issued by the Service. The certificate is to show that relevant tax has been paid on the income from which the fund is generated or that the income is not liable to Nigerian tax.

It is an offence to make remittance without obtaining the relevant Clearance Certificate, which is liable to penalty under the provisions of section 127 of the NTAA.

10.0 Amendment or Revision of the Circular

The Nigeria Revenue Service reserves the right to withdraw, replace, or amend this Circular at any time, or issue updated versions as necessary to reflect changes in legislation or administrative practices.

11.0 Enquiries

For further information or clarification regarding this Information Circular, please contact:

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